

CREDIT MEMORANDUM

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Item	Detail
Borrower	Meridian Packaging Group, Inc. (“Meridian” or the “Company”)
Facilities	\$450,000,000 Senior Secured Credit Facilities
Structure	\$375M Term Loan B (7-yr) + \$75M Revolving Credit Facility (5-yr)
Purpose	Refinance existing indebtedness; fund acquisition of Apex Containers LLC
Agent / Lead Arranger	First Meridian Capital Bank, N.A. (syndicated)
Prepared by	Credit Officer, Leveraged Finance
Date	July 6, 2026
Committee level	Senior Credit Committee
Recommendation	APPROVE, subject to conditions in Section 9

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1. Executive Summary and Recommendation

Meridian Packaging Group, Inc. is a family-controlled US manufacturer of rigid plastic packaging with FY2025 revenue of \$612M and EBITDA of \$88M (14.4% margin). The Company seeks \$450M of senior secured credit facilities to refinance \$228M of existing debt and fund the \$165M acquisition of Apex Containers LLC, a regional competitor with FY2025 revenue of \$136M and EBITDA of \$17M.

Pro forma for the acquisition, the combined business generates \$748M of revenue and \$105M of EBITDA before synergies (\$114M including \$9M of identified run-rate synergies). Opening total net leverage is 3.51x against a 4.25x covenant, and base-case projections show deleveraging to 2.52x by FY2028.

The credit is fundamentally sound: stable end-markets (70% food and beverage), long customer relationships, and demonstrated margin expansion. The principal risks are (i) the leverage covenant step-down to 4.00x in Q4 2026 arriving while \$9M of synergies are still being realized, (ii) thin downside headroom on the 3.00x minimum cash interest coverage covenant, and (iii) seasonal liquidity pressure against the \$30M minimum liquidity covenant in third quarters. Under the downside sensitivity (synergy slippage plus resin cost spike), the Company breaches the interest coverage covenant and retains only 0.07x of leverage headroom. These are covenant-structure risks rather than fundamental credit risks, and are addressed through conditions in Section 9.

Recommendation: APPROVE, subject to the conditions precedent and ongoing conditions set out in Section 9.

2. Borrower Overview

2.1 Business description

Founded in 1987 and headquartered in Columbus, Ohio, Meridian manufactures rigid plastic packaging — bottles, jars, closures, and thin-wall containers — for beverage, food, and

household-products customers. The Company operates nine plants across the US Midwest and Southeast and employs approximately 2,400 people. Approximately 70% of revenue derives from food and beverage end-markets, which exhibit low cyclicalities; the remaining 30% serves household and industrial products.

2.2 Ownership and management

- Ownership: 62% Keller family (founding family, second generation); 38% Halcyon Partners LP (private equity minority, invested 2021).
- CEO: 12 years in role, former COO of a top-five packaging company. CFO: joined 2023 from a public packaging peer; led two prior integrations.
- Board: seven members — three family, two Halcyon, two independent.

2.3 Customers and concentration

The top customer, a national beverage company under contract through 2029, represents 18% of pro forma revenue. The top ten customers represent 54%. Contracts covering approximately 70% of volume contain raw-material (resin) pass-through mechanisms with a 60–90 day lag.

2.4 Industry context

US rigid plastic packaging is a ~\$40B market growing 2–3% annually, consolidating around scale players. Input cost (polyethylene and polypropylene resin) volatility is the sector's primary margin risk; pass-through contracting mitigates but does not eliminate it, given the 60–90 day lag. Sustainability-driven substitution is a long-term watch item; Meridian derives 22% of revenue from recycled-content (rPET) lines, above the peer average.

2.5 The target: Apex Containers LLC

Apex is a regional rigid-packaging manufacturer (three plants, Southeast US) with FY2025 revenue of \$136M and EBITDA of \$17M (12.5% margin). The acquisition adds geographic density, two blue-chip food customers, and \$9M of identified run-rate synergies (\$5M procurement, \$3M plant consolidation, \$1M SG&A), expected to be fully realized within 18 months of closing.

3. Transaction Summary

3.1 Proposed facilities

Facility	Amount	Tenor	Pricing	Amortization
Term Loan B	\$375.0M	7 years	SOFR + 375 bps	1% p.a., bullet at maturity
Revolving Credit Facility	\$75.0M	5 years	SOFR + 325 bps	n/a (37.5 bps commitment fee)

Term Loan B issued at 99.0 OID. Both facilities secured pari passu by the collateral described in Section 6. \$30M of the RCF is drawn at close.

3.2 Sources and uses

Sources	\$M	Uses	\$M
Term Loan B	375.0	Refinance existing debt	228.0

RCF drawn at close	30.0	Apex acquisition consideration	165.0
		Fees, expenses and OID	12.0
Total sources	405.0	Total uses	405.0

3.3 Pro forma capitalization at close

Item	\$M	x Adj. EBITDA
Term Loan B	375.0	3.29x
RCF drawn	30.0	0.26x
Finance leases	15.0	0.13x
Total debt	420.0	3.68x
Less: cash	(20.0)	
Total net debt	400.0	3.51x
PF Adjusted EBITDA (incl. \$9M run-rate synergies)	114.0	

3.4 Syndication

First Meridian Capital Bank, N.A. will underwrite and syndicate to a group of 8–12 relationship banks and institutional lenders. Hold target: \$60M. Flex provisions: +50 bps pricing flex; OID flex to 98.0.

4. Financial Analysis

4.1 Historical performance (Meridian standalone) and pro forma

\$M	FY2023	FY2024	FY2025	PF FY2025*
Revenue	548.0	581.0	612.0	748.0
EBITDA	71.0	79.0	88.0	105.0
EBITDA margin	13.0%	13.6%	14.4%	14.0%
Capex	31.0	33.0	35.0	41.0
EBITDA less capex	40.0	46.0	53.0	64.0

* Pro forma combined with Apex Containers (revenue \$136.0M, EBITDA \$17.0M), before synergies. PF Adjusted EBITDA including \$9.0M run-rate synergies: \$114.0M.

Margin expansion of 140 bps over FY2023–FY2025 reflects mix shift to higher-margin rPET lines and the 2024 closure of one underutilized plant. Revenue CAGR of 5.7% outpaces the 2–3% market, driven by share gains at two national food accounts.

4.2 Base-case projections (pro forma combined)

\$M	FY2026	FY2027	FY2028	Notes
Revenue	768.0	791.0	812.0	2.6–3.0% growth
Adjusted EBITDA	112.0	121.0	128.0	Synergies: \$5M/\$9M/\$9M

Cash interest	33.0	31.0	28.0	Declining with debt
Capex	40.0	38.0	38.0	Within covenant cap
Total net debt (year-end)	385.0	355.0	322.0	Incl. 50% ECF sweep
Net leverage	3.44x	2.93x	2.52x	Covenant: 4.00x/3.75x/3.50x
Cash interest coverage	3.39x	3.90x	4.57x	Covenant: min 3.00x
Liquidity at seasonal trough (Q3)	46.0	58.0	74.0	Covenant: min \$30.0M

4.3 Downside sensitivity

The downside case assumes (i) only \$2M of the \$5M FY2026 synergies are realized on schedule, and (ii) a resin price spike compresses margin by ~90 bps for two quarters before pass-through catches up. No incremental debt paydown beyond mandatory amortization.

FY2026, \$M	Base case	Downside	Covenant level
Adjusted EBITDA	112.0	98.0	n/a
Total net debt (year-end)	385.0	385.0	n/a
Net leverage at Q4 2026 test	3.44x	3.93x	Max 4.00x (step-down)
Cash interest coverage	3.39x	2.97x	Min 3.00x — BREACH
Liquidity at Q3 trough	46.0	38.0	Min \$30.0M

Read-through: the downside case produces a projected breach of the interest coverage covenant, leaves only 0.07x of headroom under the leverage covenant at the Q4 2026 step-down, and reduces the liquidity cushion at the seasonal trough to \$8M above the minimum. The covenant package is tight to the downside case; see Sections 5 and 7.

5. Covenant Package

5.1 Financial covenants (maintenance)

Covenant	Threshold	Tested	PF at close	FY26 base / downside
Maximum total net leverage	4.25x at close; 4.00x from Q4 2026; 3.75x from Q4 2027; 3.50x from Q4 2028	Quarterly	3.51x	3.44x / 3.93x
Minimum cash interest coverage (Adj. EBITDA / cash interest)	3.00x	Quarterly	3.45x*	3.39x / 2.97x

Minimum liquidity (unrestricted cash + undrawn RCF)	\$30.0M at all times	Monthly certificate	\$65.0M	\$46.0M / \$38.0M (Q3 trough)
Maximum capital expenditure	\$38.0M per fiscal year; 50% unused carryforward	Annually	n/a	\$40.0M (uses \$2.0M FY25 carryforward)

* PF at close: \$114.0M Adjusted EBITDA / \$33.0M annualized cash interest = 3.45x. EBITDA definition permits synergy add-backs capped at 20% of Adjusted EBITDA, subject to due-diligence support.

5.2 Non-financial covenants

- **Financial reporting:** audited annual financial statements within 90 days of fiscal year-end; unaudited quarterlies within 45 days; monthly liquidity certificate within 15 days; annual budget by January 31.
- **Compliance certificate:** quarterly officer's certificate with covenant calculations, signed by the CFO.
- **Negative pledge:** no liens on any assets other than permitted liens (finance leases up to \$25M, ordinary-course liens).
- **Limitation on indebtedness:** no additional funded debt other than an incremental facility up to \$50M, subject to 3.75x pro forma net leverage and 50 bps MFN.
- **Restricted payments:** dividends and distributions limited to a \$15M fixed basket plus a builder basket (50% of cumulative net income), available only if pro forma net leverage $\leq$ 3.00x and no default.
- **Asset sales:** proceeds above \$5M per year applied to mandatory prepayment unless reinvested within 12 months.
- **Excess cash flow sweep:** 50% of excess cash flow, stepping to 25% at $\leq$ 3.00x net leverage and 0% at $\leq$ 2.50x.
- **Change of control:** Keller family plus Halcyon ceasing to hold $\geq$ 50.1% voting control constitutes an event of default.
- **Permitted acquisitions:** individual transactions $\leq$ \$50M and cumulative $\leq$ \$120M over the facility life, subject to pro forma covenant compliance and no default.
- **Affiliate transactions:** arm's-length terms; transactions above \$2M require independent-director approval.
- **Sanctions / anti-corruption / AML:** customary representations and ongoing compliance undertakings (OFAC, FCPA).
- **Insurance and ERISA:** maintenance of customary property, casualty and business-interruption insurance with lender as loss payee; no ERISA reportable events.

6. Collateral and Security

- First-priority perfected security interest in substantially all tangible and intangible assets of the Borrower and domestic subsidiaries (including Apex post-closing).
- Mortgages over the six owned manufacturing facilities; most recent appraised value \$148M (July 2025, independent appraiser). Three plants are leased.
- Pledge of 100% of equity in domestic subsidiaries and 65% of first-tier foreign subsidiaries.
- Estimated recovery in a distressed scenario: 68–75% of facility commitments (orderly liquidation basis), before administrative costs.

7. Risk Factors and Mitigants

Risk	Description	Mitigants
Covenant step-down timing	The 4.00x leverage step-down (Q4 2026) lands while synergies are mid-realization; downside case leaves 0.07x headroom.	Synergy plan is 55% procurement (contractually actionable at close); equity cure right (two uses, non-consecutive); condition requiring quarterly synergy reporting.
Interest coverage under stress	Downside case projects 2.97x vs. 3.00x minimum — a technical breach.	Rate hedging condition ($\geq 50\%$ of TLB notional for 3 years) removes SOFR volatility from the calculation; base case carries 13% EBITDA cushion.
Seasonal liquidity	Q3 working-capital build (resin pre-buy + beverage season) draws liquidity to \$38M in the downside case vs. \$30M minimum.	RCF sized at \$75M with only \$30M drawn at close; borrowing-base style monitoring via monthly certificates.
Synergy realization	\$9M run-rate assumed; plant consolidation (\$3M) has 18-month timeline and execution risk.	CFO has led two prior integrations; covenant EBITDA add-back capped at 20%; only realized synergies count after 18 months.
Resin cost pass-through lag	60–90 day lag on 70% of volume; 30% of volume has no contractual pass-through.	Historical margin recovery within two quarters in 2022 and 2024 spikes; rPET mix reduces virgin-resin exposure.
Customer concentration	Top customer 18% of PF revenue; top ten 54%.	Top-customer contract runs to 2029 with volume commitments; no customer above 6% outside top three.

8. Conditions Precedent to Closing

- Executed credit agreement, security documents, and intercreditor arrangements.
- Completion of the Apex acquisition substantially on the terms of the executed SPA; no material adverse change.
- Interest-rate hedging covering at least 50% of Term Loan B notional for a minimum of three years, executed within 90 days of close.
- Quality-of-earnings report on Apex supporting at least \$7.5M of the \$9.0M identified synergies.
- Pro forma compliance certificate demonstrating opening net leverage no greater than 3.75x.
- Insurance certificates naming the Agent as loss payee; completed KYC/AML for all obligors.

9. Recommendation and Approvals

Recommendation: **APPROVE** the \$450M Senior Secured Credit Facilities, subject to the conditions precedent in Section 8 and the following ongoing conditions: (i) quarterly synergy-realization reporting until the full \$9.0M run-rate is achieved; (ii) monthly liquidity certificates during each Q3 seasonal period; and (iii) no waiver of the Q4 2026 leverage step-down without full committee review.

The credit presents sound fundamentals with a covenant package that is deliberately tight to the downside case. The committee should weigh the projected downside breach of the interest coverage

covenant (Section 4.3) explicitly: the recommending officer views it as an early-warning feature rather than a structuring flaw, given the equity cure right and the hedging condition.

Role	Name	Date / Signature
Credit Officer, Leveraged Finance	[Name]	July 6, 2026
Head of Leveraged Finance Credit	[Name]	[Date]
Chief Credit Officer	[Name]	[Date]
Senior Credit Committee Chair	[Name]	[Date]